Q3 2024

Custom Managed Portfolios

Guardian Capital

Global Equity SRI

Quick facts

Asset class:
Global Large Cap

Management style:
GARP[1]

Number of holdings:
40

Sub-advisor:
Guardian Capital

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
January 1, 2003

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What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	4.27%	20.52%	31.52%	14.57%	13.13%	12.13%	8.80%
Benchmark[5]	5.01%	21.77%	32.38%	11.83%	13.73%	12.61%	9.79%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	19.21%	-10.86%	31.93%	8.00%	21.55%	0.86%	11.68%
Benchmark[5]	21.02%	-11.75%	21.31%	13.32%	21.91%	0.06%	14.99%

Standard deviation	7.66%	Sortino ratio	1.47	Downside capture	87%
Sharpe ratio	0.94	Beta (Equity)	0.85	Upside capture	88%

Largest holdings

1.	APPLE INC	6.4%	**6.**	WILLIAMS COS INC	3.7%
2.	MICROSOFT CORP	5.9%	**7.**	ROYAL BANK OF CDA	3.6%
3.	BROADCOM INC	5.7%	**8.**	WOLTERS KLUWER NV	3.3%
4.	COSTCO WHOLESALE CORP	5.6%	**9.**	UNITEDHEALTH GRP INC	3.1%
5.	NOVO NORDISK	4.2%	**10.**	ACCENTURE PLC	3.1%

Portfolio attributes

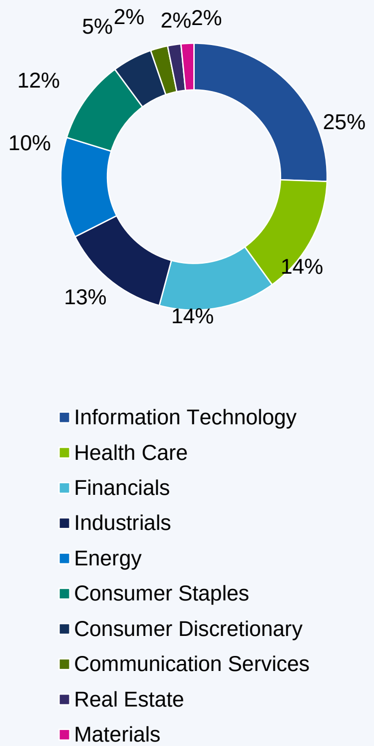
Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.08%	37.66	27.78	6.06	5.21	$665.35 B	58%

Target allocations

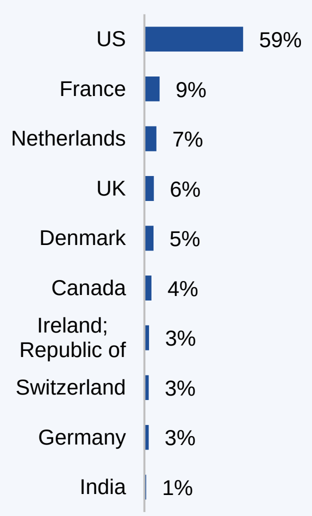
Asset class	Min	Target	Current	Max
Global equities	50%	98%	93.6%	100%
Cash & cash equivalents	0%	2%	2.1%	10%

■ Target □ Current

Sector breakdown



Geographic allocation



Quarterly commentary

Market Review

Despite several bouts of market volatility, global equities finished with a strong return in the third quarter of 2024. Optimism surrounding a soft landing in the United States (US), tolerable inflation results, the US Federal Reserve (Fed) embarking on its long-awaited interest rate cut and, most recently, China's coordinated stimulus response, solidified a global easing cycle, with major central banks standing ready to support economic growth.

Rate-cut optimism fueled the long-anticipated broadening in the market and favoured areas that had previously suffered the most from high interest rates. As a result, investors turned their attention away from the mega-cap technology+ stocks that had dominated equity returns in the first half, towards smaller cap, value-oriented bond proxies and economically sensitive areas of the market.

Market volatility during the quarter was driven primarily by the speed and magnitude of monetary policy expectations, given economic growth concerns in the hope of a "soft landing." The Fed kicked off its easing cycle with a welcomed 50 basis point move in September, with the promise of more to come. The Fed's action confirmed the market's soft-landing assumptions. Fed officials made it clear that they did not welcome any further weakening in the economy and a desire to move interest rates back to less restrictive levels.

With inflation cooling, other major central banks also cut rates. The European Central Bank (ECB) delivered its second rate cut in September, the Bank of England began its easing cycle at its August meeting and the Bank of Canada delivered its third rate cut this year. In China, the quarter finished strong after Chinese policymakers announced a raft of new stimulus measures; the coordinated nature of these announcements was a clear signal that Beijing is prepared to support the Chinese economy and markets.

The MSCI World Index advanced 5.01% during the quarter. All sectors had positive returns, except for the Energy sector, which declined by 3.45%. Utilities and Real Estate sectors led the index higher, up 16.34% and 15.59% respectively.

Portfolio Outlook and Positioning

The i3 Investment™ team believes that successful asset management should be focused on three core pillars, which are Growth, Payout and Sustainability of cash flows (GPS). For outlook and positioning, we will address each of these core pillars.

Growth — In positioning the portfolio to secular drivers of dividend growth, the Manager believes consistent earnings growth is critical for predictable and sustained dividend growth.

According to the Manager's proprietary AI Model*, earnings growth has slightly moderated globally. In the US, the earnings per share (EPS) growth forecast is strong for most of the sectors, led by Communications, Real Estate, Consumer Staples, Health Care, Materials, Financials, Industrials and Information Technology. Dispersion has narrowed between sectors, however, the Energy sector lagged due to macro headwinds. In Asia, Information Technology remains the clear leader, followed by Real Estate and Health Care, while Utilities have the worst forecast. In Europe, Information Technology and Health Care continued to exhibit healthy secular trends above 15% year-over-year, but the Manager believes there are emerging value opportunities, particularly in Real Estate. In Canada, the Materials and Real Estate sectors continued to lead in earnings growth, and the Manager's AI model shows growth is improving overall following the rate cuts.

Dividend growth projections have moderated across Asia, Europe, and the US this quarter. However, Canada has shown resilience in this area, supported by rate cuts from the Bank of Canada, leading the global trend. In the US, Communications showed the highest dividend growth potential, driven by Meta and Google announcing their first- ever dividends this year. This was followed by Information Technology, Consumer Staples, Financials, and Real Estate. In Europe, robust dividend growth was observed in Financials, Real Estate, and Utilities. In Asia, Financials and Information Technology showed the strongest dividend growth, while traditionally high-yielding sectors such as Energy, Materials, Consumer Staples, Communications, and Real Estate lag in dividend growth forecast.

We continue to position and focus on companies with positive earnings growth coupled with strong dividend growth. Notwithstanding the speculative nature of interest rate cycles, we believe the Fund's portfolio is positioned for secular dividend growth versus timing the Fed's decision. Over the past 12 months, 98% of the companies in the portfolio have increased their dividends.

Payout — Despite a relief rally in high-yielding asset classes on central bank rate cuts, the Manager focuses on dividend growth as they believe a yield-for-yield sake approach results in a minimal upside capture amidst hidden downside risks. This is especially apparent as the rates remain elevated and with elevated geopolitical risk. On the other hand, the break-out of AI has provided better secular growth opportunities, a clear driver of the market in 2024 not perturbed by macro headwinds, with dividend growth now realized. The Manager has pivoted toward higher yield based on the above reasons. Because of the magnitude of divergence in the market earlier this year, the Manager believes that a short-term correction and convergence between growth and value can occur at any time, and it is more prudent not to trade on such a rotation for a better long-term outcome.

The Manager believes that we continue to be in a phase when profitability, stability and safety need to be embraced and to focus the portfolio on earnings and cash flow growth supporting that support dividend growth vs. extraneous events.

Sustainability (of cashflows) — In their AI Model, regionally, the Manager sees the probability of dividend cuts continuing to be forecasted lower in the US and Canada than in Europe. In Europe and Asia, there is more dispersion between the sectors with the overall probability of dividend cuts remaining higher than in the US. Overall, on a sector level Information Technology, Health Care, Financials and Consumer Staples all show a lower probability of dividend cuts, which means better sustainability.

The strategy is overweight the Energy, Consumer Staples, Health Care and Industrials sectors and underweight the Consumer Discretionary, Communication Services, Materials and Utilities sectors. Regionally, the strategy has approximately 32% weight in Europe, 67% in North America and 1% in Asia and the Pacific Basin.

The Manager believes it is time to consider the duration and credit cycles within the dividend asset class. We believe our AI-powered GPS style offers a total return approach through owning companies that can continue to reward shareholders through dividends, buybacks and debt reduction, ultimately combined with careful discretionary consideration of stock and sector allocations by the portfolio managers.

Investment manager overview

GUARDIAN CAPITAL LP

Guardian was formed in 1962 and is one of Canada's longest-established, independent investment counselling firms. Over its 50-year history, Guardian has offered its investment management expertise in balanced fund management, equity management and fixed-income management to pension fund clients, institutions, operating and endowment funds, charitable organizations, mutual funds and high net worth individuals. Guardian Capital Inc. is wholly-owned by Guardian Capital Group Limited. The parent company's common and non-voting Class A shares are listed on the Toronto Stock Exchange

Investment philosophy

Guardian's investment philosophy is to achieve a prudent balance between risk tolerance and return enhancement. This balance is key to successful longer-term performance. Guardian also believes that longer term success will be achieved through fundamental research, superior security selection and implementation of a disciplined approach. They utilize both a "bottom-up" and "top-down" approach for portfolio construction with primary emphasis on a "bottom-up" process.

Investment process and risk controls

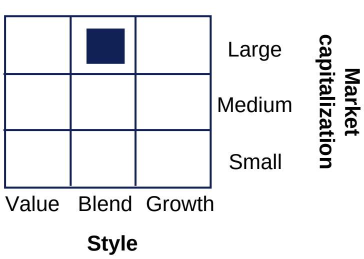
Guardian employs a proprietary and disciplined screening process that analyzes and monitors thousands of global companies. They refer to this as the GPS methodology. This methodology is designed to identify companies worthy of further review and flags those that should be sold. In a converging global market, Guardian believes a key point of differentiation is their bottom-up approach to selecting the best dividend payers within each sector, regardless of geography. GPS stands for:

- **Growth -** Dividend growth is the single biggest factor that drives investor returns in the long term.
- **Payout -** Investors reward the quality of payout, not just quantity.
- **Sustainability -** Companies must have a competitive advantage to sustain dividend growth.

Guardian's portfolio construction process utilizes a team refined approach. They do not use an optimizer to determine portfolio weights. From the Buy list portfolio managers work as a team in evaluating and discussing the merits of including a stock and its target weight in a portfolio. Position weights begin at 1% and are capped at 5%.

Their methodology looks to expose the portfolio to “pockets of strength” within global sectors while maintaining a sector-neutral positioning across the broader portfolio. Consequently, portfolio holdings within individual sectors tend to be concentrated within specific industry groups, while the broader portfolio remains well diversified across at least 7 of the 10 GICs sectors. Portfolio characteristics such as style, regional allocation and currency tilts are residuals of the stocks selection process

Equity style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada’s largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada’s largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada’s credit unions and Desjardins

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[1] GARP (Growth at a reasonable price)

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

[3] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at September 30, 2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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[5] The benchmark is MSCI World NR Index (CAD)

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